

The UK tax system

Responsibility for UK taxation is shared across three different bodies – the central government in Westminster, local government, and devolved national governments.

Role of government

Central government collects both direct taxes, such as income tax, and indirect taxes, such as VAT. Local governments collect business rates and council tax.

The devolved national governments of Scotland, Wales, and Northern Ireland have some powers to set their own tax rates, especially business rates and land tax. Scotland has the additional power to set land and buildings transaction tax and landfill tax, which are collected by Revenue Scotland. From 2018, Wales also has the power to set land transactions tax and landfill tax, with the Welsh Revenue Authority being set up to deal with these taxes. Only Scotland has its own rate of income tax, although this is collected by the central government. Northern Ireland is now free to set its own rate of corporation tax.

The central government, based in Westminster, provides funding to local councils and the devolved national governments, and also earns revenue through many streams. These are managed by two primary financial bodies, Her Majesty's Treasury (HMT) and Her Majesty's Revenue and Customs (HMRC). While HMT is responsible for overseeing the tax system, HMRC is responsible for collecting taxes nationwide and fairly administering the tax system.

HMRC was set up by the Treasury in 2005 as a non-ministerial government department, a merger between Inland Revenue, the government department responsible for the collection of direct taxes such as income tax, and Her Majesty's Customs and Excise, which collected indirect taxes such as VAT.

Revenue sources

HMRC now collects most of the tax that comes into UK government coffers. The majority of revenue comes in

the form of direct taxes, which are applied to income, profits, and other proceeds such as inheritance tax. These are either deducted at source – for example, through the pay as you earn (PAYE) system, which deducts tax from an employee's salary every month – or are payable to HMRC, such as corporation tax. Income tax and National Insurance contributions are the main direct taxes (around 45 per cent). Other direct taxes include capital gains tax, inheritance tax, and corporation tax.

Income tax is by far the most important source of revenue for the government. Over the past decade the amount of revenue coming in from high-income taxpayers has increased, and the amount coming in from lower-income taxpayers has decreased, following changes in government policy. The personal allowance for lower-income taxpayers has increased, while the threshold for higher-income taxpayers has reduced. As a result, the number of higher rate taxpayers has increased by over one million.

Indirect tax revenue is also collected by HMRC. These taxes are paid by consumers when they purchase products and services. It is then the seller's responsibility to pay the tax to HMRC. VAT is the main indirect tax, making up around 18 per cent of government revenue. When added together with other indirect taxes, charges on goods and services comprise 28 per cent of revenue.

Council revenue

At a local level, councils rely primarily on council tax and business rates for their revenue. They are allowed to raise council tax by a limited amount – a limit that is set by the national government. Councils have the power to increase business rates in line with the Retail